Project Report May 2025

Market Research

Team 21

Topic - Data Analysis of Customer Satisfaction data

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Overall Mean Score of Satisfaction - 7.92
This is a **fairly good score**, suggesting that customers are, on the whole, satisfied with the service. However, it is not an excellent score (which would typically be above 8), indicating there is definite room for improvement.

Satisfaction by Zones

Zone	Average of Satisfaction
East	7.89
North	7.44
South	8.29
West	7.50
Grand Total	**7.92**

There is a **significant inconsistency in service quality across regions**. The **South zone is the clear top performer** and serves as a benchmark for excellence. Conversely, the **North and West zones are notable underperformers**, significantly dragging down the overall average. This points to a lack of standardized processes and customer experience across the zones. This score can be improved by mandating the adoption of the high-performing South Zone's service playbook by sending southern team leaders to the North and West to audit processes and enforce faster, standardized service timelines.

Average Parameter Values by Zone

	Zone			
Values	East	North	South	West
The overall experience of getting the loan processed and disbursement	8.31	7.79	8.41	7.47
The explanation about the nature of loan and charges	8.38	7.56	8.48	7.50
The explanation about the sanction terms	8.29	7.85	8.48	7.50
Help provided for documentation	8.20	7.85	8.48	7.50
Time taken to receive the loan amount	8.24	8.09	8.48	7.74
Time taken to receive the loan welcome letter from the company	8.31	8.00	8.08	7.24
Politeness of the staff	8.24	8.21	8.40	7.71
Availability of the staff when required	8.27	8.21	8.40	7.71
Knowledge level & Ability of the staff to answer queries about loans	8.27	8.21	8.40	7.71

The North Zone's deficiency is primarily communicative. They would benefit from providing the staff with targeted support and standardized aids to improve clarity when explaining loan charges, which is their principal service gap.

Conversely, the West Zone's systemic underperformance necessitates a comprehensive operational review. The immediate priorities are to automate the critically failing welcome letter process and to implement a foundational retraining program to address the widespread performance deficiencies.

Satisfaction by Loan Tenure

Loan tenure	Average of Satisfaction
Up to 1 year	7.84
1 to 3 years	7.67
3 to 5 years	8.10
Above 5 years	8.11
Overall Average	**7.92**

Satisfaction **increases with the length of the customer relationship**. Customers with longer-term loans (above 3 years) are notably more satisfied. The **1-to-3-year loan group is the least satisfied segment**, suggesting that the process or perceived value for these customers is not meeting expectations. This can be improved by creating a simplified application with fewer documentation requirements for this segment. Since the risk period is shorter, the underwriting process can be streamlined. We can also boost their low loyalty by proactively offering a relationship-extension incentive, such as a loan top-up, after their first year.

NPS

Category	Percentage
Detractor	8
Passive	55.5
Promoter	36.5
Grand Total	100

An NPS of 28.5 is considered great since NPS scores are generally negative. It shows we have more loyal promoters than unhappy detractors. However, the most critical finding is the **massive group of "Passives" (55.5%)**. These are neutral, unenthusiastic customers who are vulnerable to being poached by competitors. The biggest opportunity for the institution is to convert this passive majority into promoters.

NPS By Zone

	Audience Category			
Zone	Detractor (%)	Passive (%)	Promoter (%)	NPS by Zone (%)
East	11.11	62.22	26.67	15.56
North	20.59	41.18	38.24	17.65
South	3.45	49.43	47.13	43.68
West	2.94	76.47	20.59	17.65

The scores mirror the satisfaction data, with the **South (43.68%)** having an excellent NPS, while the **East, North, and West** lag far behind. To improve this, **East, North, and West zones** through a mandatory mentorship program led by the South's top-performing managers, whose own performance metrics should be tied to successfully closing this regional NPS gap.

NPS by Loan Tenure

	Audience Category			
Loan Tenure	Detractor (%)	Passive (%)	Promoter (%)	NPS by Tenure (%)
Up to 1 year	15.69	43.14	41.18	25.49
1 to 3 years	5.45	70.91	23.64	18.18
3 to 5 years	8.00	52.00	40.00	32.00
Above 5 years	2.27	54.55	43.18	40.91

Loyalty also increases with loan duration, rising from a low of **18.18%** to a high of **40.91%** reinforcing our findings from the mean satisfaction score segmented by loan tenures.

Metric Averages

Metrics	Average
The overall experience of getting the loan processed and disbursement	8.125
The explanation about the nature of loan and charges	8.135
The explanation about the sanction terms	8.165
Help provided for documentation	8.145
Time taken to receive the loan amount	8.235
Time taken to receive the loan welcome letter from the company	7.975
Politeness of the staff	8.215
Availability of the staff when required	8.22
Knowledge level & Ability of the staff to answer queries about loans	8.22

The institution's **staff are a key asset**, being perceived as polite, knowledgeable, and available. The **speed of disbursement is another strength**. The most significant process failure is in **post-disbursement communication**, as the delayed welcome letter creates a poor final impression on the customer journey. Fix the lowest-rated service step by instantly emailing a digital "Welcome Kit" which contains a clear summary of sanction terms, the repayment schedule, and contact details for their service manager and an embedded referral offer upon loan disbursement, turning this process failure into a positive engagement point.

T-Test

Metrics	p-value
The overall experience of getting the loan processed and disbursement	0.0544
The explanation about the nature of loan and charges	0.0184
The explanation about the sanction terms	0.0076
Help provided for documentation	0.0159
Time taken to receive the loan amount	0.0057
Time taken to receive the loan welcome letter from the company	0.7153
Politeness of the staff	0.002
Availability of the staff when required	0.0015
Knowledge level & Ability of the staff to answer queries about loans	0.0015

Nearly all results have a p-value less than 0.05, meaning the scores are **statistically significant** and reliable. The only exceptions are the “Time taken to receive the loan welcome letter from the company” and “The overall experience of getting the loan processed and disbursement”. While both metrics fail the significance test, they should still be top priorities, one because it's the biggest pain point and the other because it's the biggest driver of satisfaction.

Correlation between Satisfaction & the overall experience of getting the loan processed and disbursed = 0.64

This shows a **strong positive relationship** between the loan processing experience and overall satisfaction. Improving the core process will directly boost satisfaction.

Top 2 Score for Satisfaction = 37%

This means only 37% of customers gave the highest possible satisfaction scores. It confirms that most customers are satisfied, but not truly "delighted." This can be corrected by rewarding customers who give a top rating with an incentive, and simultaneously contacting and surveying neutral "passive" customers to ask what specific actions would have earned a perfect score.

Variance = 2.48
This value indicates a **moderate spread** in satisfaction scores, confirming the inconsistent experience felt by different customer groups.